

CAVALRY SPV I LLC v. FOWLER

22CF14037

DEFENDANT'S MOTIONS TO DISMISS AND TO STRIKE

This is a limited jurisdiction collections case involving a debt owed to Citibank, and allegedly assigned to plaintiff. Before the Court are two motions filed by defendant: a motion to “dismiss” based upon a failure to state; and a motion to “strike” exhibits attached to the operative complaint. A review of the proofs of service and accompanying paperwork indicates that plaintiff has actual and constructive notice of these motions (even though the service was technically imperfect). There is no opposition filed, which suggests to this Court that either the amount in controversy does not warrant the effort, or that plaintiff concedes the points raised in the motions. Either way, an independent review is required.

Defendant’s motion to “dismiss” is actually a motion for judgment on the pleadings. It is defective since the motion lacks a §439 meet and confer declaration. Nevertheless, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (CCP §§ 425.10(a), 459; in accord, *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Gray v. Dignity Health* (2021) 70 Cal.App.5th 225, 236; *Tung v. Chicago Title Co.* (2021) 63 Cal.App.5th 734, 758-759.) A motion for judgment on the pleadings on the grounds of failure to state (CCP §430.10(e)) will be denied if, upon a consideration of all the facts stated, it appears that the plaintiff is entitled to any relief at the hands of the court against the defendants, even though the facts may not be clearly stated or may be intermingled with a statement of other facts irrelevant to the cause of action shown. (*New Livable California v. Association of Bay Area Governments* (2020) 59 Cal.App.5th 709, 714; *Wittenberg v. Bornstein* (2020) 51 Cal.App.5th 556, 566; *Weimer v. Nationstar Mortgage, LLC* (2020) 47 Cal.App.5th 341, 352.)

The operative pleading here contains causes of action for open book and account stated. An open book is a detailed statement constituting the principal record of transactions between a debtor and creditor arising out of a contractual relationship between the two. (CCP §337a.) An account stated requires an agreement between the parties as debtor/creditor regarding an amount due and a promise of repayment. (See *Gleason v. Klamer* (1980) 103 Cal.App.3d 782, 786; *H. Russell Taylor’s Fire Prevention Service, Inc. v. Coca Cola Bottling Corp.* (1979) 99 Cal.App.3d 711, 726.) Although the only records attached to the operative pleading are two monthly statements, and lacks the usual array of documents this Court sees in such cases (e.g., cardmember agreement, proof of actual use by the cardmember, and notice of default), the exhibits

with the averments are more than sufficient to acquaint defendant with the nature and basis of the claim.

Defendant separately contends that the claims asserted are barred by the applicable statute of limitations, as a matter of law. Seeking dispositive relief for failure to state at the pleading stage on an affirmative defense is a high bar: it must appear clearly and affirmatively that, upon the face of the complaint, the right of action is necessarily barred. This will not be the case unless the complaint alleges every fact which the defendant would be required to prove if he were to plead the bar of the applicable statute of limitation as an affirmative defense. (*Committee for Green Foothills v. Santa Clara County Board of Supervisors* (2010) 48 Cal.4th 32, 42; *May v. City of Milpitas* (2013) 217 Cal.App.4th 1307, 1324.) Although defendant contends that the April 2019 payment was in fact not made, which is another way of saying that the cause of action accrued earlier, it is of no consequence since the statute of limitations for open book and account stated is four years (see CCP §337(b)), and this lawsuit was filed in December 2022. In other words, even if the cause of action accrued in January of 2019, it would be timely based on the commencement date.

Finally, defendant appears to suggest that plaintiff's averments of an assignment are insufficient to prove an assignment was made. Although this Court could take judicial notice of plaintiff's status as a well-known debt buyer, it is generally not a requirement at the pleading stage to "prove" a valid assignment unless the claim asserted is not assignable. (See, e.g., *Amalgamated Transit Union, Local 1756, AFL-CIO v. Superior Court* (2009) 46 Cal.4th 993, 1002; *Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 993; in accord, *Fink v. Shemtov* (2012) 210 Cal.App.4th 599, 610.) Defendant does not allege something amiss with the assignment, only that she does not accept the fact that a complete assignment has been made. This is a matter for discovery and potentially summary judgment, but not a basis for attacking the pleading in a vacuum.

Defendant's motion to "strike" is also missing the required meet and confer declaration. (CCP §435.5.) Nevertheless, pursuant to CCP §§ 435 and 436, a party may move for an order striking from a pleading "any irrelevant, false or improper matter" or "any part of any pleading not drawn in conformity" with laws, rules or orders. A matter is considered "irrelevant" if it is not essential to the statement of the claim or defense or if it is neither pertinent to nor supported by an otherwise sufficient claim or defense. (CCP §431.10(b) and (c).) A matter is considered "false" if it is, on its face, contrary to fact or truth (as opposed to a sham). (*Garcia v. Sterling* (1985) 176 Cal.App.3d 17, 21.) The motion is to be used sparingly, not as a line item veto. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1683.) The motion to strike fails on the merits because defendant's contention that the exhibits are "inaccurate" is not a basis for striking them from the Complaint – they represent an essential part of plaintiff's claim and are properly incorporated by reference. (See *Clements v. T.R. Bechtel Co.* (1954) 43 Cal.2d 227, 242.)

Defense motions are DENIED.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff is ordered to serve and file a proposed order consistent herewith and CRC 3.1312.

FOSTER v. IRBC2 PROPERTIES LLC et al

21CV45573

DEFENSE DEMURRER TO SAC

This is a wrongful foreclosure case. The operative pleading herein is the Second Amended Complaint filed 01/05/23, which contains the following seven (7) causes of action: wrongful foreclosure; cancellation of instruments; slander of title; intentional and negligent infliction of emotional distress; unfair business practices; accounting; and a new claim for unjust enrichment (having replaced the previous claim for declaratory relief). As this Court has previously noted, plaintiff's general theory of the lawsuit is that California TD Specialists did not have legal authority to conduct, on behalf of 2005 Residential Trust 3-2 by Wilmington Savings Fund Society FSB, a nonjudicial foreclosure sale of plaintiff's residence because (1) one of the entities in the chain (IRBC-2) was misidentified and (2) assignments within the chain were untimely. Because the issue of lawful standing to conduct a nonjudicial foreclosure sale falls within a narrow, and presently underdeveloped, area of law, the parties have focused entirely on the pleadings so far. Unfortunately, the pleadings have never been easy to follow, based largely on plaintiff's writing style and unfamiliarity with pleading rules. Consistent with the "pleadings only" limited approach, here is yet another demurrer – this to the entire Second Amended Complaint, and to each cause of action subsumed therein, by defendants FCI Lender Services, IRBC-2 Properties, Park Tree Investments, Real Time Resolutions, Wilmington Savings Fund, and Connie Riggsby.

Background Facts (as alleged and deduced from incorporated exhibits)

On or about 08/08/02, plaintiff acquired via grant deed, for a reported \$25,000, a half-acre lot in the Copper Cove subdivision of Copperopolis, overlooking Lake Tulloch, designated APN 067-022-005, and commonly referred to as 4928 Pueblo Trail, Copperopolis, California (hereinafter "subject property"). Soon thereafter, plaintiff completed construction thereon of a 2,831 sq ft residence with four bedrooms and 3 bathrooms, using funds he borrowed from IndyMac Bank. The amount of the loan is unknown.

On or about 07/06/06, plaintiff secured a home equity line of credit from Countrywide Bank in the amount of \$450,496.00 (designated as *Loan No 9160017686*). The note for this line of credit (hereinafter "HELOC") was secured by a deed of trust to the subject property (hereinafter "HELOC-DOT") with the power of sale in favor of MERS as Countrywide's nominated beneficiary. According to plaintiff, this HELOC did not qualify as either a negotiable (Comm. Code §3104) or a bearer (Comm. Code §3205) instrument.